TOPIC 1 · THE GLOBAL ECONOMY

Sources: Xinhua, TMGM, ABC News
Wednesday 11 November 2026

China's exports boom as its shoppers hold back

China's consumer prices rose just **0.7%** over the year to October, yet its exports jumped **35.2%**. Beijing also extended its pause on an extra 24% tariff on US goods for two more months, ahead of an expected Trump–Xi meeting.

WHAT HAPPENED

- **Consumer inflation cooled** to 0.7% y/y in October, from 0.9% in September and below the 0.8% forecast, a sign of weak household demand.
- **Exports rose 35.2%** y/y in US-dollar terms (September: 36.3%). China's trade surplus reached about **US$1.04 trillion** in the first ten months of 2026.
- **Tariff truce extended:** China's Finance Ministry kept the **extra 24% tariff** on US imports suspended for two months from 10 November. Its **10% tariff stays**.
- Trump and Xi are expected to meet at **APEC** in China next week.

Tariff: a tax on imports that raises their domestic price
Trade surplus: exports greater than imports
Trade truce: a temporary pause in retaliatory tariffs

KEY NUMBERS

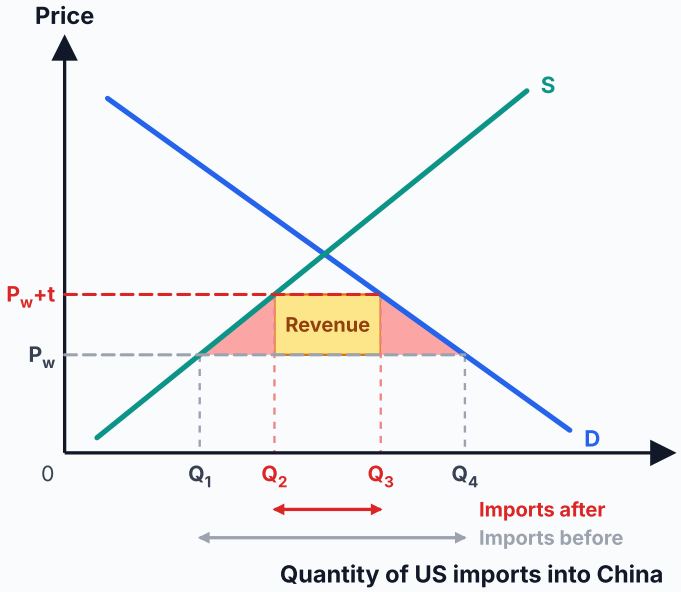
0.7%
China CPI, year to October (prev. 0.9%)

+35.2%
China exports, y/y in US$, October

US$1.04trn
Trade surplus, first 10 months of 2026

24%
Extra tariff on US goods kept suspended

DIAGRAM What a tariff on US goods does inside China



A tariff lifts the domestic price of US imports from P_w to P_w+t.

Chinese consumers buy less (Q_4 to Q_3), while **Chinese producers** sell more (Q_1 to Q_2). Imports shrink to Q_2–Q_3 and the **government** collects the yellow revenue. The red triangles are **deadweight losses**.

Keeping the extra 24% suspended means only the 10% applies: a smaller **t**, more trade and smaller losses.

Exam angle: tariffs redistribute income from consumers to producers and the government, and reduce efficiency. Retaliation escalates these losses for both countries.

FLOW CHART One common reading of China's lopsided recovery

Cautious Chinese households → Weak consumer price growth (0.7%) → Firms sell more output abroad (+35.2%) → Record trade surplus → **Trading partners push back with protection**

SYLLABUS LINK

Topic 1 – protectionism and trade disputes; global trade imbalances; economic growth in China. Also Topic 2 – China as Australia's largest export market.

TRY THIS

Using a tariff diagram, explain the effects on Chinese consumers, producers and the government of keeping only the 10% tariff on US goods.
(4 MARKS)

TMGM morning brief, 9–10 Nov 2026: https://www.tmgm.com/en/analysis/market-insight/morning-brief-2026-11-08
Xinhua – China's CPI up 0.7% in October: https://english.news.cn/20261109/8cba51c016304f11a089bb1d290bf020/c.html
ABC News – Markets live blog, 10 Nov 2026: https://www.abc.net.au/news/2026-11-10/asx-markets-business-live-news-november-10-2026/107363300

Diagrams are illustrative, not to scale